

CASE ID: 201602710732

EPISODE NAME: China Sanctions South Korea over THAAD Missile Installation

2016/02/08 - 2017/11/28

Sender: China (710)

Target: South Korea (732)

Issue: Contain Military Behavior (2)

Final Outcome: Negotiated Settlement following sanctions imposition (10)

Summary:

On 2016/02/08, China summoned South Korea's ambassador to protest the beginning of discussions between Washington and Seoul regarding South Korea's installation of the Terminal High Altitude Area Defense (THAAD) missile system.¹ After, the deal was formalized on 2016/07/07,² China gradually built up economic pressure by limiting South Korean cultural and manufactured imports, as well as banning tourism to the country.³⁴⁵ The episode ended on 2017/10/31, when Beijing and Seoul announced the normalization of relations.⁶

Narrative:

On 2016/02/08, China summoned South Korea's ambassador to protest the beginning of discussions between Washington and Seoul regarding South Korea's installation of the Terminal High Altitude Area Defense (THAAD) missile system.⁷ China's warning came the day after the United States and South Korea entered negotiations, which grew out of concerns about North

¹ "China summons South Korean ambassador over THAAD decision." *The Korea Times*, 8 Feb. 2016.
<https://www.koreatimes.co.kr/foreignaffairs/northkorea/20160208/china-summons-south-korean-ambassador-over-thaad-decision>.

² "ROK & U.S. Joint Statement: ROK-U.S. Alliance agrees to deploy THAAD." *United States Forces Korea*, July 7th, 2016.
<https://www.usfk.mil/Media/Newsroom/News/Article/831175/rok-us-joint-statement-rok-us-alliance-agrees-to-deploy-thaad>.

³ Frater, Patrick. "China Reportedly Bans Korean TV Content, Talent." *Variety*, 4 Aug. 2016.
<https://variety.com/2016/biz/asia/china-confirms-ban-on-korean-content-talent-1201830391/>

⁴ Park, Hyong-ki. "China ups THAAD retaliation against Korean products." *The Korea Times*, 20 Jan. 2017.
<https://www.koreatimes.co.kr/economy/20170120/china-ups-thaad-retaliation-against-korean-products>

⁵ Alec, Macfarlane. "China is crushing South Korea's tourism industry." *CNN Business*, April 26th, 2017.
<https://www.cnn.com/2017/04/26/news/chinese-tourism-south-korea>.

⁶ McGregor, Matt. "China and South Korea Come to Terms on THAAD Dispute." *The Observer*, November 2017.
<https://theobserver-qiaa.org/china-and-south-korea-come-to-terms-on-thaad-dispute>.

⁷ "China summons South Korean ambassador over THAAD decision." *The Korea Times*, 8 Feb. 2016.
<https://www.koreatimes.co.kr/foreignaffairs/northkorea/20160208/china-summons-south-korean-ambassador-over-thaad-decision>.

Korea's military capabilities.⁸⁹ Beijing saw the technology as a threat to its national security, and lodged a series of vague threats against South Korea while discussions continued.¹⁰

After plans for South Korea to install the defense system were formalized on 2016/07/08,¹¹ China responded with a series of escalating sanctions. Multiple planned concerts and events in China featuring Korean stars were cancelled in 2016/08.¹² Beijing then removed Korean TV content and talent from Chinese screens beginning in 2016/09, officially announcing the policy on 2016/11/21.¹³¹⁴ In 2017/01, China further increased the pressure, blocking South Korean imports of cosmetics, air purifiers, and high-tech toilet seats.¹⁵¹⁶ In 2017/03, China told domestic travel agencies not to sell tours to South Korea.¹⁷

Additionally, China targeted South Korean giant Lotte International after the firm provided land to the South Korean military for the installation of THAAD on 2017/02/27.¹⁸ In response, China closed 23 of its Chinese locations for "inspections."¹⁹

⁸ Kwon, KJ. and Paula Handcocks. "South Korea, U.S. to discuss THAAD missile defense plan." *CNN*, 7 Feb. 2016. <https://www.cnn.com/2016/02/07/asia/us-south-korea-thaad-missile-defense>.

⁹ Macias, Amanda. "Mr. Kim has missile lust, and he's not giving up": A timeline of North Korea's brazen missile tests so far in 2016." *Business Insider*, 29 Oct. 2016. <https://www.businessinsider.com/timeline-of-north-korea-tests-2016-10>

¹⁰ Merik, Ethan and Salidjanova Nargiza. "China's Response to U.S.-South Korean Missile Defense System Deployment and its Implications." US-China Economic and Security Review Commission Staff Research Report, 26 July 2017. [https://www.uscc.gov/sites/default/files/Research/Report_China%27s%20Response%20to%20THAAD%20Deploy](https://www.uscc.gov/sites/default/files/Research/Report_China%27s%20Response%20to%20THAAD%20Deployment%20and%20its%20Implications.pdf)

¹¹ "ROK & U.S. Joint Statement: ROK-U.S. Alliance agrees to deploy THAAD." *United States Forces Korea*, July 7th, 2016. [https://www.usfk.mil/Media/Newsroom/News/Article/831175/rok-us-joint-statement-rok-us-alliance-agrees-to-depl](https://www.usfk.mil/Media/Newsroom/News/Article/831175/rok-us-joint-statement-rok-us-alliance-agrees-to-deploy-thaad)

¹² Qin, Amy and Choe Sang-Hun. "South Korean Missile Defense Deal Appears to Sour China's Taste for K-Pop." *New York Times*, 4 Aug. 2016. https://www.nytimes.com/2016/08/08/world/asia/china-korea-thaad.html?_r=0

¹³ Frater, Patrick. "China Reportedly Bans Korean TV Content, Talent." *Variety*, 4 Aug. 2016. <https://variety.com/2016/biz/asia/china-confirms-ban-on-korean-content-talent-1201830391/>

¹⁴ Han-soo, Lee. "China bans Korean TV content to protest US missile defense system in Korea." *The Korea Times*, November 21st, 2016. [https://www.koreatimes.co.kr/foreignaffairs/20161121/china-bans-korean-tv-content-to-protest-us-missile-defense-s](https://www.koreatimes.co.kr/foreignaffairs/20161121/china-bans-korean-tv-content-to-protest-us-missile-defense-system-in-korea)

¹⁵ Yoon Ja-young. "China bans imports of 19 Korean cosmetics." *The Korea Times*, 10 Jan. 2017. <https://www.koreatimes.co.kr/economy/20170110/china-bans-imports-of-19-korean-cosmetics>.

¹⁶ Park, Hyong-ki. "China ups THAAD retaliation against Korean products." *The Korea Times*, 20 Jan. 2017. <https://www.koreatimes.co.kr/economy/20170120/china-ups-thaad-retaliation-against-korean-products>

¹⁷ Alec, Macfarlane. "China is crushing South Korea's tourism industry." *CNN Business*, April 26th, 2017. <https://www.cnn.com/2017/04/26/news/chinese-tourism-south-korea>.

¹⁸ Jae-hyuk, Park. "Lotte approves land provision for THAAD." *The Korea Times*, February 27th, 2017. <https://www.koreatimes.co.kr/business/companies/20170227/lotte-approves-land-provision-for-thaad>.

¹⁹ Lee, Joyce and Adam Jourdan. "South Korea's Lotte reports store closures in China amid political stand-off." *Reuters*, 6 March 2017. <https://www.reuters.com/article/business/south-koreas-lotte-reports-store-closures-in-china-amid-political-stand-off-idUSKBN16D03U/>

China's Korean TV ban had a large effect on South Korea. Two of the largest talent agencies in the country, SM Entertainment and YG Entertainment, lost \$150 million, and \$230 million respectively.²⁰ No less impactful was China's ban on group tours to South Korea. Chinese citizens made up about eight million of Korea's roughly seventeen million tourists in 2016, and there was a 40 percent decrease in Chinese tourism from mid-March to mid-April 2017.²¹

THAAD was installed and operational by 2017/05/01.²² Shortly following the project's completion, China began to quietly roll back some economic restrictions.²³

On 2017/10/31, China and South Korea reached an agreement. Ultimately, THAAD was still deployed on the condition of Korea's "Three No's" policy: no additional THAAD deployments, no involvement in the United States' missile defense system, and no future trilateral alliance between the US, Japan and Korea.²⁴ In return, China partially lifted the ban on group tours to South Korea on 2017/11/28, allowing only in-person sales of group tours, and keeping online ones banned.²⁵ Most of the banned Korean TV programs were also quietly unbanned in 2017/11.²⁶

²⁰ Kil, Sonia. "China's Blockade of Cultural Korea Marks Troublesome Anniversary." *Variety*, August 24th, 2017. <https://variety.com/2017/film/asia/china-ban-on-korea-culture-anniversary-1202537823>.

²¹ Alec, Macfarlane. "China is crushing South Korea's tourism industry." *CNN Business*, April 26th, 2017. <https://www.cnn.com/2017/04/26/news/chinese-tourism-south-korea>.

²² Solomon, Feliz. "THAAD Anti-Missile System Is Now Operational in South Korea." *Time*, 1 May 2017. <https://time.com/4762751/thaad-south-korea-north-korea-missile/>.

²³ Chae Sung-jin. "China Eases up on THAAD Boycott of Korea." *Chosun Daily*, 22 May 2017. <https://www.chosun.com/english/industry-en/2017/05/22/DAP7OMUIUB76ZNNRD2CSML72BM/>.

²⁴ McGregor, Matt. "China and South Korea Come to Terms on THAAD Dispute." *The Observer*, November 2017. <https://theobserver-qiaa.org/china-and-south-korea-come-to-terms-on-thaad-dispute>.

²⁵ "China to partially lift ban on group tours to South Korea but online curbs will stay." *South China Morning Post*, November 28th, 2017. <https://www.scmp.com/news/china/diplomacy-defence/article/2121939/china-partially-lift-ban-group-tours-south-korea-online>.

²⁶ Soon-do, Hong. "China Virtually Ends Hallyu Ban." *HuffPost*, November 2nd, 2017. https://www.huffpost.com/entry/china-virtually-ends-hallyu-ban_b_59fb14cae4b09afdf01c40a1.